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in Small Enterprise Development
& Finance Agency



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KHULA CREDIT GUARANTEE (SOC) LIMITED A SUBSIDIARY OF SEDFA

Business Profile

Khula Credit Guarantee (SOC) Ltd (KCG) is a wholly owned subsidiary of the Small Enterprise Development and Finance Agency (SOC) Ltd (SEDFA). **KCG is a licensed non-life insurer** authorised by the South African Reserve Bank (SARB) Prudential Authority to provide Guarantees and Trade Credit insurance.

Its primary role is **to improve access to finance for Micro, Small and Medium Enterprises (MSMEs)** by providing credit guarantees to participating financial institutions. These guarantees reduce the lending risk for financial institutions, enabling viable businesses that may lack sufficient collateral to access the finance they need to start, grow or expand their operations.

Our Purpose

Many viable businesses struggle to access funding because they do not meet traditional collateral requirements. **KCG bridges this gap by sharing lending risk with Partner Financial Institutions (PFIs)**, making it easier for qualifying MSMEs to obtain finance. The scheme supports enterprises that have sound business potential but would otherwise be unable to secure funding due to insufficient or unacceptable collateral.

How the Scheme Works

KCG provides partial credit guarantees to participating lenders, including commercial banks, non-bank financial institutions, Corporate Enterprise and Supplier Development (ESD) programmes, and providers of incidental credit. By sharing the credit risk, KCG enables lenders to extend finance to qualifying MSMEs while reducing their exposure should a borrower default.

✓ KCG Product Offering

- Individual Credit Guarantees
- Portfolio Credit Guarantees
- Supplier Credit Guarantees
- Hybrid Guarantees

✓ Benefits of a KCG Guarantee

- Improves access to finance for MSMEs
- Reduces collateral requirements
- Shares lending risk with financial institutions
- Enables business start-ups, acquisitions and expansions
- Promotes inclusive economic growth and job creation

✊ Our Impact

Since 2012, KCG has:

- Supported approximately 9 900 MSMEs
- Facilitated over R4.4 billion in approved facilities
- Provided R3.4 billion in risk cover
- Paid more than R432 million in claims to participating lenders following qualifying defaults

These achievements demonstrate KCG's commitment to expanding access to finance and supporting sustainable enterprise growth.

✋ Partner Financial Institution Eligibility

To participate in the KCG Scheme, financial institutions are generally expected to:

- Be an authorised Financial Services Provider (FSP)
- Be accredited by the National Credit Regulator (NCR), where applicable
- Comply with SARB prudential requirements
- Meet minimum capital adequacy requirements
- Maintain an MSME lending policy
- Demonstrate sound lending practices and portfolio performance
- Provide historical MSME portfolio and non-performing loan (NPL) information
- Demonstrate adequate operational capacity and financial strength.

